

MARKET STRUCTURE & SUPPORT/ RESISTANCE

MARKET STRUCTURE

When we talk about the market structure in chart analysis, we are referring to the patterns and formations that appear on price charts. These patterns help traders analyze the behavior of market participants and make predictions about future price movements. Here are some key components of market structure in chart analysis:

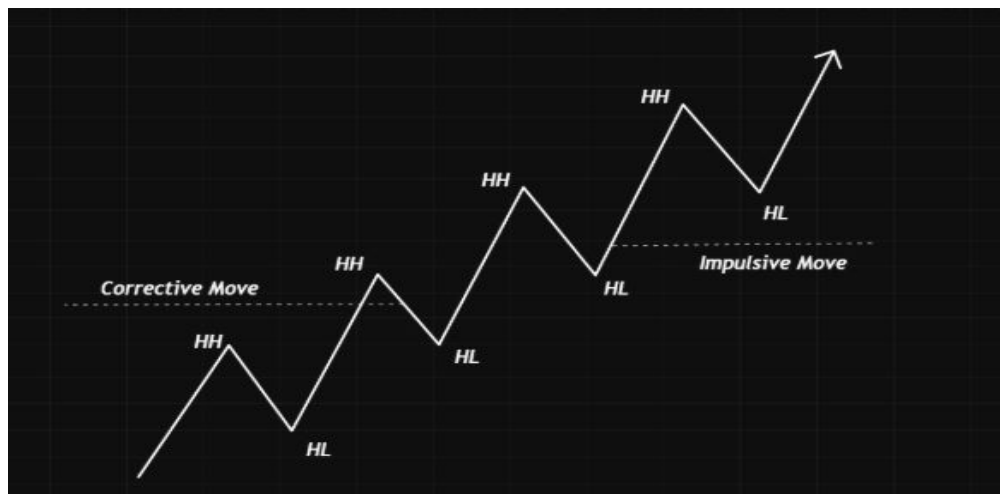
MARKET STRUCTURE

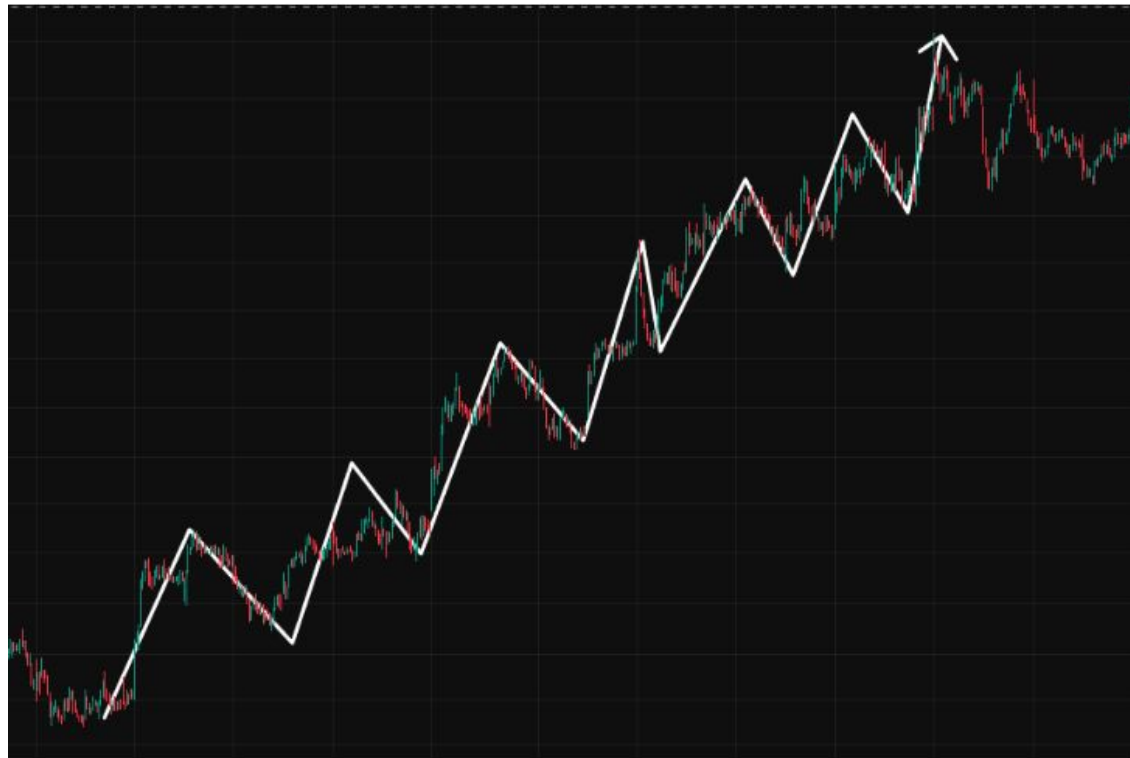
Trend

A trend shows the general direction in which the market price is moving over a period of time.

Types of Trends - Uptrend

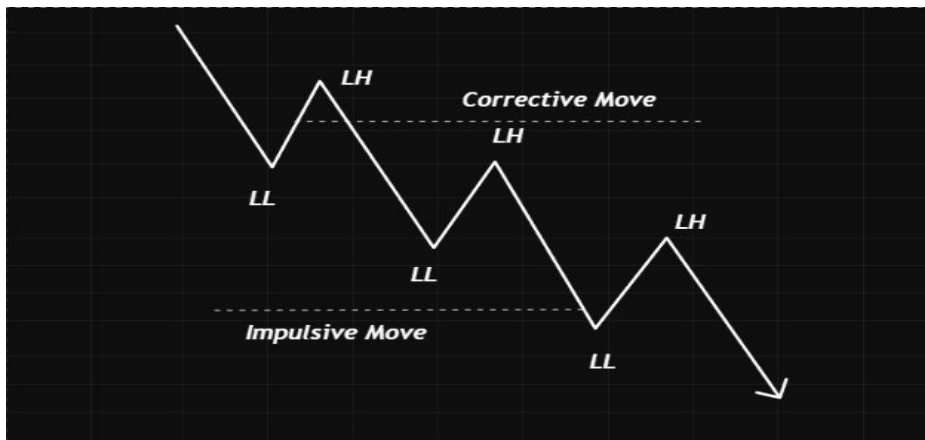
An uptrend occurs when the price keeps making higher highs and higher lows. This indicates that buyers are in control and demand is strong.

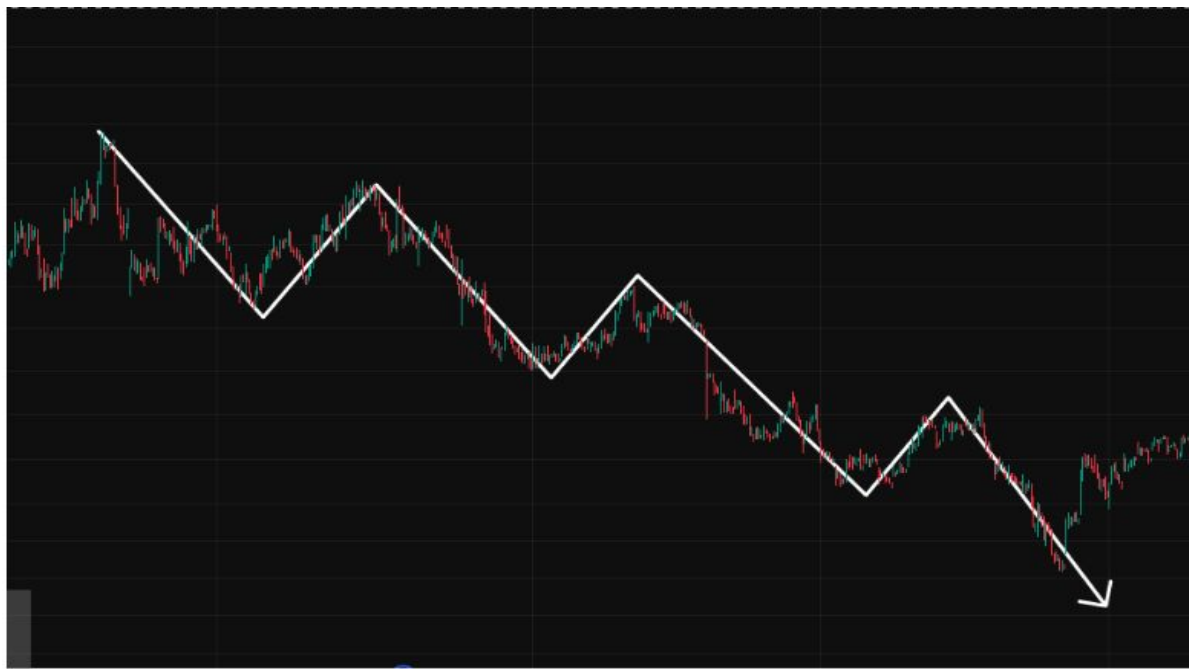




Downtrend

- A downtrend happens when the price forms lower highs and lower lows.
- This shows selling pressure, where sellers dominate the market.





Sideways (Range - Bound) Trend

- In a sideways trend, price moves within a fixed range, without making higher highs or lower lows.
- Neither buyers nor sellers have full control.



Support and Resistance

Support and Resistance

- Support is a price level where buying pressure is strong enough to stop price from falling further.
- Price usually bounces upward from this zone.



Resistance

Resistance is a price level where selling pressure prevents price from rising further. Price often falls back from this area.



How to Validate Support and Resistance?

Support or resistance becomes stronger when:

- Price reacts multiple times from the same level
- High trading volume is seen near the level
- Strong candlestick pattern appear (pin, bar, engulfing)

Identifying Entry and Exit Price Zones

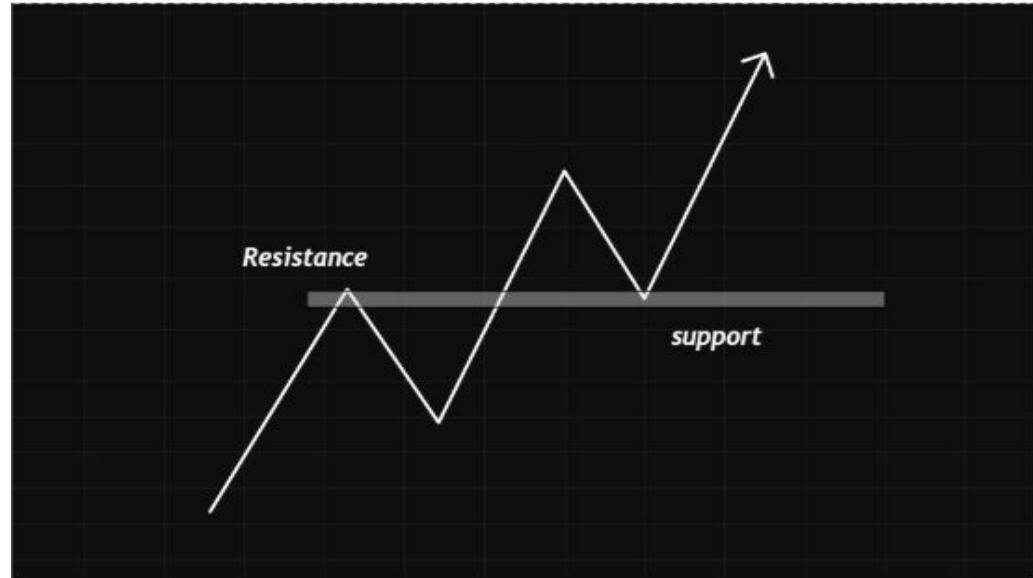
Entry Zones

- Buy near support in an uptrend
- Sell near resistance in a downtrend
- Confirm with:
 - ❖ Candlestick patterns
 - ❖ Volume
 - ❖ Trend direction

Exit Zones

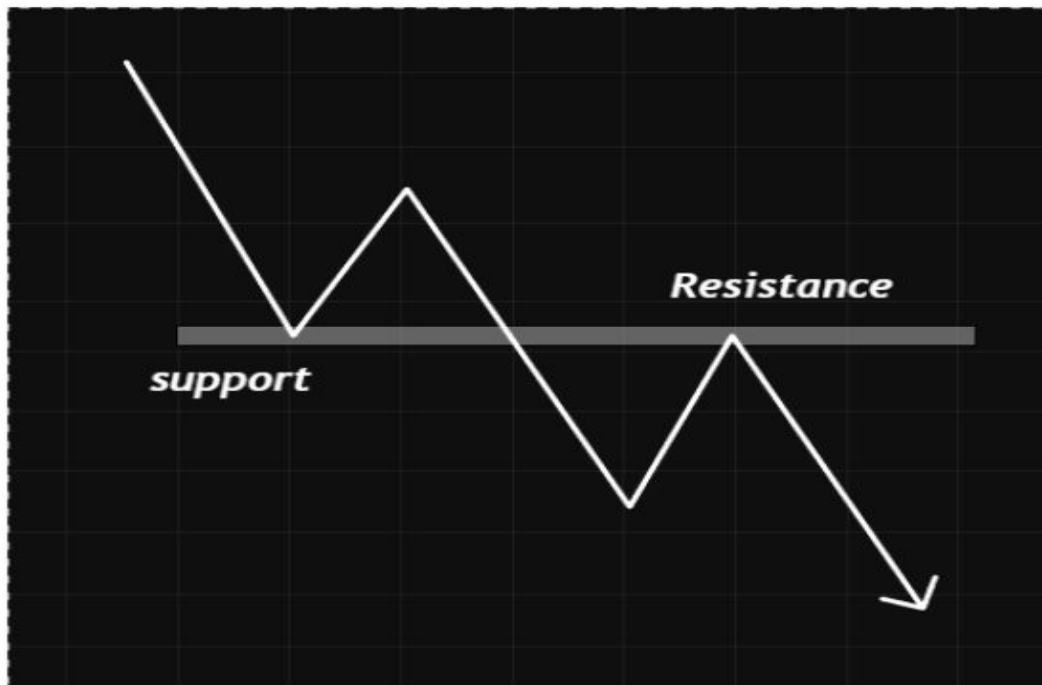
- Exit near resistance when buying
- Exit near support when selling
- Place stop-loss beyond support or resistance to manage risk

Role of Reversal - Uptrend





Downtrend





Assignments

Identify the trends, understand the role of reversals, and share the screenshots on Discord

THANK YOU